3) What are the policy responses initiated by the U S government to combat the global financial crisis of 2008.

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12.10 LET US SUM UP

In this unit we discussed about origin of various financial crises with special focus on Global financial Crisis of 2007. A good institution is a primary requirement for the growth of the economy. It includes well-developed, transparent, and accountable central banking. It appears that the crisis resulted from the interaction of many factors: politics, monetary policy, global economic developments, growth of securitisation, and a fragmented regulatory structure. The central bank must actively regulate commercial banks to follow the guidelines to maintain the minimum capital ratio and limit the leverage ratio to a certain threshold level. It is widely acknowledged that banks will need to operate with more significant capital levels to manage bankruptcy risk and reduce the chance of repeat crises. The shock observation of the economy depends on how well the financial system is developed and how transparent and accountable the country's central banking is. The global financial crisis made policymakers consider the requirement of a tightly monitored financial system and controlled commercial banking to avoid future crises. And the policymakers should adopt a monetary and fiscal policy to reduce the severity of the macro crisis and rescue the economy from recession. During the global financial crisis of 2008, the policymakers did implement a combination of fiscal and monetary policy, but they acted late. Of course, the monetary and fiscal policy had reduced the depth of the recession. Still, if the policymakers had acted upon it early, the recession's severity could have been minimised.

In order to recognise the importance of the central role of banks in the financial crisis and acknowledge the interlinkages of macro and financial sectors of the economy to achieve adequate economic growth with financial stability, the 2022 Sveriges Riksbank Prize in Economic Sciences in Honor of Alfred Nobel awarded to Ben S. Bernanke, Douglas W. Diamond, and Philip H. Dybvig for their research on banks and financial crises. Douglas Diamond and Philip Dybvig developed theoretical models to explore banks' role in the economy and why they are vulnerable to bank runs. Diamond and Dybvig (1983) presented a theory of maturity transformation. They showed that the most efficient arrangement is an institution using demand deposits to finance long-term projects. However, this arrangement has an inherent vulnerability: bank runs may arise. Bernanke (1983) showed that the downturn became so deep and so protracted partly because bank failures destroyed valuable banking relationships. The resulting credit supply contraction left significant scars on the real economy.

12.11 KEY WORDS

Collateralised debt obligations (CDO)	A Collateralized Debt Obligation (CDO) is a type of derivative contract and is a synthetic investment product that groups different types of loans to offer a single investment product to institutional investors. Collateralized debt obligation (CDO) clubs various loans and derives its value from an underlying asset.
Credit derivatives	a type of derivative in which the risk that a loan will not be repaid is sold to a party other than the lender.
Financial Crisis	A financial crisis is when financial asset prices are nosedived in value, firms, businesses, multilateral organisations and consumers cannot pay their debts, and financial institutions experience a shortage in liquidity.
Liquidity trap	A liquidity trap is an adverse economic situation that can occur when consumers and investors hoard cash rather than spending or investing it even when interest rates are low.
Mortgage-backed securities	A mortgage-backed security (MBS) is a type of asset-backed security (an 'instrument') which is secured by a mortgage or collection of mortgages.
OTD model	In the OTD model the originator of a loan sells it to third parties through a securitisation process.
Securitization	Securitization is the process in which certain types of assets are pooled so that they can be repackaged into interest-bearing securities. The interest and principal payments from the assets are passed through to the purchasers of the securities.
Subprime lending	A subprime mortgage is generally a loan that is meant to be offered to prospective borrowers with impaired credit records.

12.12 SOME USEFUL REFERENCES

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Rajan, R. (2010). How inequality fueled the crisis. *Project Syndicate*, *9*.

Taylor, J. B. (2009). *The financial crisis and the policy responses: An empirical analysis of what went wrong* (No. w14631). National Bureau of Economic Research.

12.13 ANSWERS/HINTS TO CHECK YOUR PROGRESS EXERCISES

Check Your Progress 1

1) See section 12.2
2) See section 12.4.3
3) See section 12.4.1

Check Your Progress 2

1) See section 12.7
2) See section 12.8
3) See section 12.9